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APHC010472212026

IN THE HIGH COURT OF ANDHRA PRADESH
AT AMARAVATI **[3564]**
(Special Original Jurisdiction)

MONDAY, THE 21st DAY OF SEPTEMBER 2026

PRESENT

THE HONOURABLE SRI JUSTICE BATTU DEVANAND

THE HONOURABLE SRI JUSTICE TUHIN KUMAR GEDELA

WRIT PETITION NO: 25720/2026

Between:

1. PAPPULA MASENU VENKANNA, S/O P. SATYANARAYANA, AGED 52 YEARS OCC BUSINESS, R/O D.NO. 5-31, KOTIPALLE VILLAGE, PAMARRU MANDAL, DR.B.R. AMBEDKAR KONASEEMA DISTRICT, ERSTWHILE EAST GODAVARI - 533306
2. PAPPULA GEETHA BHARATHI LAKSHMI, W/O P. MASENU VENKANNA, AGD 51 YEARS R/O D.NO. 5-31, KOTIPALLE VILLAGE, PAMARRU MANDAL, DR.B.R. AMBEDKAR KONASEEMA DISTRICT, ERSTWHILE EAST GODAVARI - 533306

...PETITIONER(S)

AND

1. THE INDIAN BANK, REP. BY ITS CHIEF MANAGER, KAKINADA BRANCH, NEAR MASEED CENTRE, KAKINADA, EAST GODAVARI - 533002
2. THE INDIAN BANK, KAKINADA BRANCH REP. BY ITS BRANCH MANAGER NEAR MASEED CENTRE, KAKINADA, EAST GODAVARI -533002
3. AUTHORISED OFFICER, KAKINADA BRANCH INDIAN BANK, NEAR MASEED CENTRE, KAKINADA, EAST GODAVARI - 533002

4. M/S MIR ASSETS FIVE PRIVATE LIMITED, REP. BY ITS MANAGING DIRECTOR MEENAKSHI TECH PARK, 7TH FLOOR, BLOCK - B, PHASE 2, GACHIBOWLI, SERILINGAMPALLY RANGA REDDY DISTRICT, TELANGANA -500019.

...RESPONDENT(S):

Petition under Article 226 of the Constitution of India praying that in the circumstances stated in the affidavit filed therewith, the High Court may be pleased to issue Writ, direction, order or orders, WRIT OF MANDAMUS, declaring the action of respondent bank in taking steps to register the schedule property i.e., of 542 sq yards situated in No.8-2-293/82/N313/A, in circle V, Ward 8, Block 2 being the rear portion of the Plot No.313, Road No.25, Jubilee Hills, Cooperative Housing Building Society Ltd, Hyderabad or 453 sq meters in Sy.No.(old) 403/1, new 120 of Shaikpet village and 102/1 of Hakeempet village, GHMC, Hyderabad in favour of R4 and give possession even before the certified copy of the orders dated 5-9-2026 in S.A.No.745 of 2026 of DRT, Visakhapatnam being furnished and without considering the petitioners request to pay the entire loan amount of Rs.3,39,49,057/- to the respondent No.2 as per sale notice dated 04-01-2026 after DRT Visakhapatnam gave specific observation that the demand notice is not correct as illegal, arbitrary and consequently direct the respondent No.1 to 3 to consider the request/ plea of petitioner to pay the entire loan amount as per sale notice dated 401-2026 for housing loans vide Ac.No.6646575029-HL and Ac.No.664650422.

IA NO: 1 OF 2026

Petition under Section 151 CPC praying that in the circumstances stated in the affidavit filed in support of the petition, the High Court may be pleased Direct the respondent No.1 to 3 not to finalize the sale or register the property of 542 sq yards situated in No.8-2-293/82/A/313/A, in circle V, Ward 8, Block 2 being the rear portion of the Plot No.313, Road No.25, Jubilee Hills, Cooperative Housing Building Society Ltd, Hyderabad or 453 sq meters in Sy.No.(old) 403/1, new 120 of Shaikpet Village and 102/1 of Hakeempet village, GHMC, Hyderabad, put as security in housing loans vide Ac.No.6646575029-HL and Ac.No.6646504228 to the respondent No.4, and pass

Counsel for the Petitioner(S):

1. K S MURTHY ASSOCIATES

Counsel for the Respondent(S):

1. RAYAPROLU SRIKANTH
2. MALLIDI ARUNA SRI SATYA

The Court made the following:

THE HON'BLE SRI JUSTICE BATTU DEVANAND
&

THE HONOURABLE SRI JUSTICE TUHIN KUMAR GEDELA

WRIT PETITION No.25720 of 2026

ORDER: *(Per Hon'ble Sri Justice Battu Devanand)*

Heard,

Mr. K.S.Murthy, learned Senior Counsel for the petitioners (K.S.Murthy Associates), Mr. Rayaprolu Srikanth, learned counsel for respondent Nos.1 to 3/Bank, and Mr. O.Manohar Reddy, learned Senior Counsel assisted by Ms. M.Aruna Sri Satya, learned counsel for respondent No.4.

2. The Writ Petition is filed seeking a Writ of Mandamus, declaring the action of the respondent bank in taking steps to register the schedule property i.e., of 542 sq yards situated in No.8-2-293/82/A/313/A, in circle V, Ward 8, Block 2 being the rear action portion of the Plot No.313, Road No.25, Jubilee Hills, Cooperative Housing Building Society Ltd, Hyderabad or 453 sq meters in Sy.No.(old) 403/1, new 120 of Shaikpet Village and 102/1 of Hakeempet Village, GHMC, Hyderabad in favour of R4 and give possession even before the certified copy of the orders dated 05.09.2026 in S.A.No.745 of 2026 of DRT, Visakhapatnam being furnished and without considering the petitioners' request to pay the entire loan amount of Rs.3,39,49,057/- to the respondent No.2 as per sale notice dated 04.01.2026 after DRT, Visakhapatnam gave specific observation that the demand notice is not correct as illegal, arbitrary and consequently direct the respondent Nos.1 to 3 to consider the

request/plea of petitioners to pay the entire loan amount as per sale notice dated 05.01.2026 for housing loans vide Ac.No.6646575029-HL and Ac.No.6646504228, and to pass any such orders.

3. The principal contention of Mr. K.S.Murthy, learned Senior Counsel for the petitioners, is that the petitioner availed a housing loan of Rs.95,00,000/- from the 2nd respondent bank with Ac.No.6646575029-HL on 22.06.2018. The 2nd petitioner is the wife of the 1st petitioner and she also availed a housing loan of Rs.1,00,00,000/- from the 2nd respondent bank with Ac.No.6646504228 on 29.06.2018. Against the said loan, property of 542 sq. yards situated in No.8-2-293/82/A/313/A, in circle V, Ward 8, Block 2 being the rear portion of Plot No.313, Road No.25, Jubilee Hills, Cooperative Housing Building Society Ltd, Hyderabad or 453 sq meters in Sy.No.(old) 403/1, new 120 of Shaikpet village and 102/1 of Hakeempet village, GHMC, Hyderabad, was put as security.

4. Mr.K.S.Murthy, learned Senior Counsel, would submit that, due to financial constraints and Covid-19 distress, the petitioners were unable to pay the instalment amounts within the stipulated time and in that pursuit, on 31.03.2021, the said loan accounts were classified as 'Non-Performing Assets' (NPAs).

5. Mr. K.S.Murthy, learned Senior Counsel, would further place on record that a demand notice under Section 13(2) of the Securitization and Reconstruction of Financial Assets and Enforcement of Security Interest Act,

2002 (for short 'the SARFAESI Act, 2002) was caused on 30.04.2024 by the 3rd respondent, wherein the demand notice along with other loans was also included. Learned Senior Counsel further asserts that the objections submitted by the petitioners by way of representation were neither rejected nor it was considered by the respondent bank and the said representations are kept pending, wherein it is stated that the petitioners have given an undertaking that they are ready to deposit the entire loan amount of Rs.2,80,76,068/-. They also brought to the notice of the respondent bank, in their objections, that an amount of Rs.11,00,000/- was wrongly included as it was already paid. The respondent bank, on 01.11.2025, issued a possession notice with description of mortgaged property situated in Hyderabad. Owing to the said issuance of notice, the petitioners filed S.A.No.745 of 2025 on the file of the Debts Recovery Tribunal (for short 'the DRT'), Visakhapatnam. Thereafter, on 05.01.2026, the respondent-bank issued notice of sale with outstanding amount of Rs.3,39,49,057/- on 18.02.2026. In the S.A., the said sale notice was challenged through I.A.No.556 of 2025. Despite the pendency of the stay application, the same was posted to 19.02.2026, after auction date.

6. Learned Senior Counsel would further assert that the petitioners immediately approached this Court *vide* W.P.No.4577 of 2026 on 17.02.2026, wherein this Court passed interim orders directing the Bank officials not to confirm the sale. The petitioners further contend that the auction, which was scheduled to be held, was not confirmed due to participation of only one

bidder. On 30.04.2026, this Court disposed of the Writ Petition with the following direction:

> *"It is evident from the record that a co-ordinate Bench of this Court, in this case allowed the auction to go on as scheduled, however with a direction not to confirm the sale. If stay of confirmation of the sale is continued, the auction purchaser's interest will be prejudiced. If sale is confirmed and Sale Certificate is registered, the purpose of filing of S.A. will be defeated. Therefore, to balance the interest of both sides, in the facts and circumstances of case, this Court finds it proper to direct the Tribunal to dispose of the S.A. as early as possible, preferably within a period of (3) month from the date of receipt of a copy of this order. However, there shall not be confirmation of sale and registration of Sale Certificate till the disposal of S.A., but, subject to the condition that the appellant depositing 30% of the amount due as on 04.01.2026, which is mentioned as Rs.3,39,49,057/- vide notice dated 05.01.2026 within a period of (4) weeks. The amount deposited by the writ petitioners and the amount deposited by the auction purchaser shall be kept in Fixed Deposits and their entitlement for the same including the interest will be subject to result of the S.A."*

7. As stipulated by this Court, the petitioner deposited 30% of the amount i.e., Rs.1,01,84,717/- on 25.05.2026. Later, S.A.No.745 of 2025 was dismissed on 05.09.2026.

8. The contention which is raised by the petitioners is that the demand notice dated 30.04.2024 is *prima facie* illegal, as an unrelated loan Ac.No.6421093530 of Rs.11,00,000/- was included. It is the further contention of the petitioners that the Debts Recovery Tribunal (for short 'the DRT') observed that the said demand notice was not correct and when once such finding is given, it is implied that the entire proceedings will be vitiated. The maxim *sublato fundament cadet opus* specifically says that, if the initial action is not in consonance with law, all subsequent and consequential proceedings would fall through for the reason that illegality strikes at the root of the order.

9. The other ground raised by the petitioners in the Writ Petition was that the valuation of the property was wrongly fixed. The 2nd respondent bank has submitted two valuations, dated 10.11.2026 and 12.11.2026, which were the basis of sale notice dated 05.01.2026. This ground was raised before the DRT that the value of property was assessed at Rs.20,72,00,000/-, while the correct value being Rs.18,88,00,000/-.

10. Mr. K.S.Murthy, learned Senior Counsel, would further emphasize his arguments that this Court, while disposing of W.P.No.4577 of 2026 on 30.04.2026, directed the petitioners to pay 30% of the amount. As stipulated by this Court, the petitioners deposited 30% of the amount before the Tribunal and is ready to pay the entire loan amount mentioned in the sale notice of Rs.3,39,49,057/- to the respondent bank. This fact did not weigh for consideration before the Tribunal, and the same was dismissed on 05.09.2026.The petitioners applied for a certified copy *vide* Diary No.876 of 2026 before the DRT.

11. Mr. K.S.Murthy, learned Senior Counsel, would further submit that Section 18 of the SARFAESI Act enables an aggrieved party to prefer an appeal to the Appellate Authority. For better appreciation, Section 18 of the Act is extracted hereunder:

18. Appeal to Appellate Tribunal.

(1)Any person aggrieved, by any order made by the Debts Recovery Tribunal [under section 17, may prefer an appeal along with such fee, as may be prescribed] to an Appellate Tribunal within thirty days from the date of receipt of the order of Debts Recovery Tribunal:

[Provided that different fees may be prescribed for filing an appeal by the borrower or by the person other than the borrower:]

[Provided further that no appeal shall be entertained unless the borrower has deposited with the Appellate Tribunal fifty per cent. of the amount of debt due from him, as claimed by the secured creditors or determined by the Debts Recovery Tribunal, whichever is less:

Provided also that the Appellate Tribunal may, for the reasons to be recorded in writing, reduce the amount to not less than twenty-five per cent of debt referred to in the second proviso.]

12. Mr.K.S.Murthy, learned Senior Counsel, would emphasize his arguments that this Court directed the petitioners to pay 30% of the amount and the same was paid by the petitioner. The respondent bank is aware of the said fact of depositing the amount; but on converse, soon after the dismissal of the S.A., the bank proceeded to issue the Sale Certificate dated 07.09.2026 and also proceeding with the registration.

13. The argument advanced by Mr. K.S.Murthy, learned Senior Counsel, is that, when the Act envisages the statutory right of appeal to the aggrieved party, the respondent-bank, with all justification, ought to have waited for the expiry of 30 days and also the argument advanced is that when a certified copy is applied before the DRT and the same is pending, the respondent bank ought not to have hastily proceeded to issue the Sale Certificate and thereafter proceed for registration. On these grounds, the learned Senior Counsel engulfs that the Writ Petition deserves to be allowed.

14. In oppugnation to the said contention advanced by Mr. K.S. Murthy, learned Senior Counsel, Mr.O.Manohar Reddy, learned Senior Counsel assisted by Ms. M.Aruna Sri Satya, learned counsel for respondent No.4,

would submit that, after dismissal of S.A.No.745 of 2025, the respondent-Bank issued the Sale Certificate dated 07.09.2026 and also proceeded with the registration in favour of respondent No.4, who was the highest bidder.

15. In the Writ Petition, the auction bidder is arrayed as respondent No.4.

16. Mr. O. Manohar Reddy, learned Senior Counsel, would submit that Section 18 of the Act, where the appeal is provided to the Appellate Court to any person aggrieved by an order passed by DRT only entails that filing of an appeal and cannot be interpreted to construe as a deemed stay and only the Appellate Authority can pass an order of stay in the I.A. application.

17. Learned Senior Counsel appearing for respondent No.4 has drawn the attention of this Court to sub-rules (4) (5) and (6) of Rule 9 of the Security Interest (Enforcement) Rules, 2002, which read as follows:

> *"4.The balance amount of purchase price payable shall be paid by the purchaser to the authorized officer on or before the fifteenth day of confirmation of sale of the immovable property or such extended period [as may be agreed upon in writing between the purchaser and the secured creditor, in any case not exceeding three months]*
>
> *5. In default of payment within the period mentioned in sub-rule (4), the deposit shall be forfeited [to the secured creditor] [Inserted by Notification No. G.S.R. 1046 (E), dated 3.11.2016 (w.e.f. 20.9.2002).] and the property shall be resold and the defaulting purchaser shall forfeit all claim to the property or to any part of the sum for which it may be subsequently sold.*
>
> *6. On confirmation of sale by the secured creditor and if the terms of payment have been complied with, the authorized officer exercising the power of sale shall issue a certificate of sale of the immovable property in favour of the purchaser in the Form given in Appendix V to these rules".*

18. Learned Senior Counsel, while restricting to Rule 9,would amplify his contention that, soon after the respondent No.4 emerged as the successful

bidder, he immediately within 15 days, as per the stipulated time, to deposit the amount and soon after the ingredients of the Rule are complied with, the respondent No.4 has became the owner of the property. He would further assert that, after the Sale Certificate is issued and later apart, the registration was proceeded in favour of the respondent No.4 (pending). He would further urge that once the demand notice under Section 13(8) of the Act is issued, the borrower's right to redeem the property drastically stands extinguished.

19. Adopting the arguments of Mr. O.Manohar Reddy, learned Senior Counsel, Mr.Rayaprolu Srikanth, learned counsel for respondent bank, would contend that the arguments advanced by the learned Senior Counsel appearing for the petitioners will have no legal platform. According to him, Section 18 of the Act only enables an aggrieved party to file an appeal, and that, by itself, would not *ipso facto* confer any right to the party to contend that filing of an appeal would amount to stay. He would further strengthen his arguments by submitting that, immediately upon being declared as the highest bidder, respondent No.4 had in fact paid the amount mentioned in the sale notice, and that the Bank had thereafter issued the Sale Certificate and registered the property in favour of respondent No.4 (pending). He would assert that there was no illegality or irregularity committed by the Bank and that the Bank had acted in accordance with the provisions of the SARFAESI Act. Therefore, this Court should be slow in interfering with the proceedings.

20. Heard the arguments advanced by the learned counsel on either side. With the consent expressed by all the parties, this Writ Petition is now heard finally at the admission stage.

21. Learned counsel for the parties confine their arguments with respect to Section 18 of the SARFAESI Act, 2002, which provides a statutory of appeal to any person aggrieved by an order passed by the Debts Recovery Tribunal. As per Section 18 of the SARFAESI Act, it is precisely clear that an appeal shall be filed within thirty days and, of course, the Appellate Tribunal is having the jurisdiction to condone the delay, if any, in filing the appeal. Mere filing of appeal does not tantamount to a deemed stayed, as rightly asserted by the learned counsel for the respondent bank.

22. It is to be noted, at this juncture, that this Court, while disposing of Writ Petition No.4577 of 2026, vide order, dated 30.04.2026, considered the interest of the both the parties, directed the bank not to confirm the sale and registration of sale till the disposal of the S.A. However, the said direction was subject to the condition that the petitioners deposit 30% of the amount due as on 04.01.2026, which was stated to be Rs.3,39,49,057/- in the notice dated 05.01.2026, within a period of four (4) weeks. The amount deposited by the writ petitioners and the amount deposited by the auction purchaser shall be kept in Fixed Deposits and their entitlement for the same, including interest, will be subject to the result of the S.A.

23. The order passed by this Court clearly indicates that the rights of the petitioners/borrowers were protected and that the borrowers, without any delay, deposited the amount before the Tribunal and accrued right to contest the matter in appeal, which is continuous cause of action.

24. The Coordinate Bench of this Court, in ***Haridasu Srinivasa Rao v. Debts Recovery Tribunal, Rep. by its Chairman and Others***[1]***,*** while considering Section 18 of the SARFAESI Act, held as follows:

> *"4. Therefore, this writ petition is disposed of with a direction to the petitioner to pursue his remedy of appeal before the Debts Recovery Appellate Tribunal. The petitioner is permitted to prefer an appeal within one week from the date of this order. Till he prefers the appeal within the time so stipulated, there shall be a direction to the Advocate Commissioner not to take possession of the secured asset. If the petitioner fails to prefer an appeal within the period of one week and obtain any order from the Appellate Tribunal, the above said direction stands vacated without any further reference to the Court".*

25. This law is no more *res integra* that the appeal is a continuous cause and when this Court has given direction to the borrower to deposit 30% of the amount and contest the said Securitization Appeal, directing the bank not to proceed with the Sale Certificate till the disposal of the S.A., which necessarily be construed that the borrowers' right to be saved till the expiry of the 30 days of the appeal period.

26. The arguments advanced by the learned counsels for the respondents are not appealing to the Court, only for the reason that when the appeal is continuous cause of action and more so, in view of sub-rules (3), (4) and (5) of

[1] 2026 SCC Online AP 639

Rule 9 of the Security Interest (Enforcement) Rules, 2002, which read as follows:

> *"(3) On every sale of immovable property, the purchaser shall immediately, i.e., on the same day or not later than next working day, as the case may be, pay a deposit of twenty five percent of the amount of the sale price, which is inclusive of earnest money deposited , if any, to the authorised officer conducting the sale and in default of such deposit, the property shall be sold again.*
>
> *(4). The balance amount of purchase price payable shall be paid by the purchaser to the authorised officer on or before the fifteenth day of confirmation of sale of the immovable property or such extended period [as may be agreed upon in writing between the purchaser and the secured creditor, in any case not exceeding three months].*
>
> *(5) In default of payment within a period mentioned in sub-rule (4), the deposit shall be forfeited [to the secured creditor] and the property shall be resold and the defaulting purchaser shall forfeit all claim to the property or to any part of the sum for which it may be subsequently sold".*

27. The above Rules certainly entail that a period of fifteen days is provided to the auction purchaser to pay the amount, which necessarily in its legalistic sense, has to be construed as contemplating a time gap of within fifteen days period and if the borrower is ready to pay amount mentioned in the sale notice along with other payments, the bank may receive. The legislature according to its wisdom has left upon the grey area only to circumvent the aggrieved party to file appeal and secure stay within stipulated period.

28. In the present case, the symphonic contention of the petitioners is that, immediately after the dismissal of the SA, on 05.09.2026, the petitioners admittedly filed an application for furnishing a certified copy *vide* Diary No.876 of 2026 before the DRT. It is also not denied by the bank that the amount is deposited by the borrowers/petitioners as directed by this Court in

W.P.No.4577 of 2026, dated 30.04.2026 and indeed invited an order from the Court not to confirm the sale till the disposal of the SA.

29. As stated supra, the right to appeal constitutes a continuing statutory right accorded to the aggrieved party and cannot be taken away and any such action is contrary to the legal jurisprudence and would amount to violation of the principles of natural justice.

30. In ***Narayan Chandra Ghosh v. U.C.O. Bank and Others[2],*** the Hon'ble Supreme Court, while considering Section 18 of the Act, ultimately directed the borrower to file an appeal within thirty days from the date of the order passed by the Hon'ble Supreme Court and the time to pay the amount by the auction purchaser was extended for another 30 days, which necessarily construed that the appeal under Section 18 of the Act cannot be made redundant or otiose.

31. The aggrieved party cannot be deprived of an effective opportunity to exercise its statutory right of appeal by precipitating, irreversible or fait accompli.

32. Again, in ***S. Karthik and Others v. N. Subhash Chand Jain and Others[3]*,** the Hon'ble Supreme Court held that the secured creditor acts as a trustee of the secured assets and cannot deal with it as though it were its absolute property.

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[2](2011) 4 SCC 548
[3](2022) 10 SCC 641

33. In ***M.R. Vasumathi v. The Authorized Officer and Others***[4], the Hon'ble Supreme Court held that the SARFAESI Rules bind the secured creditor with equal rigor that the statutory requirements governing action are mandatory, the validity of an authority must be tested against the statutory regime rather than merely on equitable consideration.

34. In the present case, the borrower was vigilant in pursuing his remedies and this Court, while exercising its jurisdiction under Article 226 of the Constitution of India, directed the borrower to deposit 30% of the sale amount specified in the sale notice. Further, when the petitioner orchestrated the averment in the SA before the Tribunal that he is ready to pay the entire amount due, as notified in the sale notice, the said contention was not taken seriously by the DRT and dismissed the SA.

35. This Court finds incriminating flaw with the findings of the DRT in this aspect, since a direction was given by this Court to deposit the amount and contest the Securitization Appeal, the DRT ought to have applied its mind to the averments in the Securitization Appeal and ought to have passed orders, but conversely, dismissing the SA filed by the borrowers/petitioners indicates total non-application of mind. It is beyond cavil of doubt that, under the judicial review, this Court confines only to the decision-making itself and not the decision, as the order is certainly crippled with legal infirmities at the root itself.

36. Admittedly, the bank, hectically, to the reasons not known, acted in issuing the Sale Certificate dated 07.09.2026 and also proceeding to register

[4] 2026 INSC 633

the subject property despite having knowledge that the borrower has paid 30% of the demand notice, as directed by this Court, which unfolds the succinct arbitrariness.

37. Recently, in ***E.Muthurathinasabathy and Others v. Sri International and Others***[5]***,*** the Hon'ble Supreme Court framed the following questions of law:

> *"10 a). Whether an auction sale under the SARFAESI Act, once confirmed and followed by issuance and registration of a sale certificate, can be annulled by the High Court in writ jurisdiction on equitable considerations?*
>
> *b) Whether the borrower's right of redemption survives issuance and registration of a sale certificate under the SARFAESI Act?"*

38. Again, in ***E.Muthurathinasabathy's*** case (cited supra 5), the Hon'ble Supreme Court, at paragraphs 23, 28, 29, 30, 32, 33 and 34, held as follows:

> *"The raison d'être of proceedings under the SARFAESI Act is not the mechanical completion of a sale, but the lawful realisation of the secured asset in a manner that is fair, transparent, and conducive to securing the best possible value while balancing the interests of all stakeholders involved. If the process suffers from material irregularities or fails to conform to mandatory requirements, thereby rendering the sale inchoate, the Court would be justified in intervening, particularly where the borrower has, in the interregnum, discharged the outstanding liability, so as to obviate disproportionate deprivation of property and uphold substantive justice.*
>
> *28. The present case stands on an entirely different footing. Here, the completion of sale itself was prorogued far beyond the period contemplated by Rule 9(4), not on account of any default attributable to the borrowers, but owing to subsisting judicial orders and procedural restraints. The very bedrock upon which finality was recognised in Bafna Motors Pvt. Ltd. (supra) is, thus, conspicuously absent in the present case. Precedents, it is trite, are authorities for what they actually adjudicate upon and not for what may logically ensue therefrom; applied in that circumscribed sense, Bafna Motors Pvt. Ltd. (supra) is distinguishable on facts as well as principle and, therefore, cannot be*

[5] 2026 LiveLaw (SC) 319

invoked to defeat the borrowers' subsisting right of redemption in the present case.

29. The above conclusion also garners authoritative support in the decision of this Court in Mathew Varghese (supra), the relevant paragraphs of which are extracted herein below: 29.2. When we analyse in depth the stipulations contained in the said sub-section (8), we find that there is a valuable right recognised and asserted in favour of the borrower, who is the owner of the secured asset and who is extended an opportunity to take all efforts to stop the sale or transfer till the last minute before which the said sale or transfer is to be effected. Having regard to such a valuable right of a debtor having been embedded in the said sub-section, it will have to be stated in uncontroverted terms that the said provision has been engrafted in the SARFAESI Act primarily with a view to protect the rights of a borrower, inasmuch as, such an ownership right is a constitutional right protected under Article 300-A of the Constitution, which mandates that no person shall be deprived of his property save by authority of law.

> *38. On a reading of the above paragraphs, we are able to discern the ratio to the effect that a mere conferment of power to sell without intervention of the court in the mortgage deed by itself will not deprive the mortgagor of his right to redemption, that the extinction of the right of redemption has to be subsequent to the deed conferring such power, that the right of redemption is not extinguished at the expiry of the period, that the equity of redemption is not extinguished by mere contract for sale and that the mortgagor's right to redeem will survive until there has been completion of sale by the mortgagee by a registered deed. The ratio is also to the effect that the power to sell should not be exercised unless and until notice in writing requiring payment of the principal money has been served on the mortgagor. The above proposition of law of course was laid down by this Court in Narandas Karsondas [(1977) 3 SCC 247] while construing Section 60 of the TP Act. But as rightly contended by Mr Shyam Divan, we fail to note any distinction to be drawn while applying the above said principles, even in respect of the sale of secured assets created by way of a secured interest in favour of the secured creditor under the provisions of the SARFAESI Act, read along with the relevant Rules. We say so, inasmuch as, we find that even while setting out the principles in respect of the redemption of a mortgage by applying Section 60 of the TP Act, this Court has envisaged the situation where such mortgage deed providing for resorting to the sale of the mortgage property without the intervention of the Court. Keeping the said situation in mind, it was held that the right of redemption will not get extinguished merely atthe expiry of the period mentioned in the mortgage deed. It was also stated that the equity of redemption is not extinguished by mere contract for sale and the most important and vital principle stated was that the mortgagor's right to redeem will survive until there has been completion of sale by the mortgagee by a registered deed. The completion of sale, it is stated, can be held to be so unless and until notice in writing requiring payment of the principal money has been served on the mortgagor. Therefore, it was held that until the sale is complete by registration of sale, the*

> *mortgagor does not lose the right of redemption. It was also made clear that it was erroneous to suggest that the mortgagee would be acting as the agent of the mortgagor in selling the property.*
>
> *41. Here again we find that even if there was some difference in the amount tendered by the borrower while exercising his right of redemption under Section 13(8), the question of difference in the amount should be kept open and can be decided subsequently, but on that score the right of redemption of the mortgagor cannot be frustrated. Elaborating the statement of law made therein, we wish to state that the endeavour or the role of a secured creditor in such a situation while resorting to any sale for the realisation of dues of a mortgaged asset, should be that the mortgagor is entitled for some lenience, if not more to be shown, to enable the borrower to tender the amounts due in order to ensure that the constitutional right to property is preserved, rather than it being deprived of.*

30. The principle enunciated in Mathew Varghese (supra) squarely operates in the present case. A sale that remained inchoate in favour of the auction purchasers, owing to non-compliance with mandatory timelines prescribed under Rule 9(4) of the 2002 Rules, cannot be invoked to defeat the right of the borrowers to redeem, especially when the borrowers remitted the entire remaining dues on 02.12.2022, nor can a belated plea of third-party interest prevail when the statutory conditions for vesting the title were never fulfilled.

32. Reliance on M. Rajendran (supra), however, is misplaced in the facts of the present case. In M. Rajendran (supra), this Court was primarily concerned with the interpretation of Section 13(8), as amended, and the stage at which the borrower's right of redemption stands curtailed in the context of a completed statutory auction process. The controversy before us stands on a materially different footing. Here, the sale process had not attained finality in the manner contemplated under the statute at the relevant point of time, and the borrowers had demonstrated their willingness to discharge the secured debt. Consequently, the principle enunciated in M. Rajendran (supra) does not advance the case of the secured creditor and cannot be read as foreclosing relief to the borrowers in the peculiar facts of the present case.

III. BORROWERS' REPAYMENTS

33. The record, when read as a continuum and not in fragmented silos, leaves little room for doubt that the borrowers had, by successive payments made under judicial supervision, brought the outstanding liability to the brink of complete extinguishment and stood well within reach of redeeming the secured asset. As reflected in the notice issued under Section 13(2) of the SARFAESI Act dated 10.02.2020, the total outstanding dues were quantified at Rs. 3,89,31,614/-. Pursuant to orders passed in the proceedings before the DRAT that followed, the borrower deposited Rs. 75,00,000/- as pre-deposit, and, upon modification by the High Court, further deposited Rs. 35,00,000/- on 15.01.2021. Thereafter, in compliance with subsequent directions, an additional sum of Rs. 85,00,000/- was deposited on 15.06.2022.

Consequently, even prior to 31.03.2022, when the applications under Section 17 of the SARFAESI Act of the borrowers came to be dismissed, the outstanding amount stood reduced to approximately Rs. 1,95,00,000/-.

34. The process of repayment by the borrowers did not halt there. When the writ petitions (leading to the impugned judgment before us) were entertained by the High Court, the borrowers were directed to deposit the entire balance amount within a week vide the order dated 28.11.2022. In compliance with the said direction, the borrowers remitted the entire remaining dues of Rs. 2,29,31,614 [Rs. 1,94,31,614 (balance amount) + Rs. 35,00,000 (interest)] by RTGS on 02.12.2022, and addressed a contemporaneous communication dated 02.12.2022 to the secured creditor, seeking acceptance of the payment and return of the original title deeds. The details of these payments are set out in the compliance report dated 02.12.2022 and annexures forming part of the writ proceedings. The refusal by the secured creditor to accept the payment was not on the ground of any shortfall or default on the part of the borrowers, but solely on the premise that third-party interest had, by then, been created. In a situation where the borrowers had, in fact, discharged the entire quantified liability pursuant to judicial orders, such refusal by the secured creditor accentuates the disproportionate consequence sought to be visited upon them and starkly brings into focus why divestment of the secured assets of the borrowers in the face of well nigh complete and ultimate full repayment cannot be sustained in law."

39. The ratio laid down by the Hon'ble Supreme Court in the above-referred judgment squarely applies to the present case. Admittedly, there was judicial intervention in W.P.No.4577 of 2026 dated 30.04.2026 and in that pursuit, the amount was deposited and also the borrower expressed his willingness to pay the entire amount.

40. In view of the cumulative reasons stated hereinabove and the law postulated by the Hon'ble Supreme Court, as referred above, the Writ Petition is allowed with the following directions:

i) The order passed by the Debts Recovery Tribunal, Visakhapatnam, in S.A.No.745 of 2025, dated 05.09.2026 and the

consequential Sale Certificate dated 07.09.2026 are kept in abeyance.

ii) It is left open to the petitioners to avail the remedy of Statutory Appeal provided under Section 18 of the Securitization and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002 before the Appellate Tribunal, i.e. Debts Recovery Appellate Tribunal (DRAT).

iii) The Debts Recovery Appellate Tribunal (DRAT) shall consider and pass order in the stay application, if any, filed.

iv) The DRAT shall also look into the aspect of delay, if any, and consider the said application as per law enunciated under the Act.

v) The DRAT shall not be influenced by any of the observations made by this Court and shall pass appropriate orders on merits and in accordance with law. Till passing of the orders in the I.A., seeking stay, *status quo* obtaining as on today shall be maintained.

vi) If the petitioners/borrowers fail to prefer an appeal, within a period of one week from the date of the order and obtain orders from the Appellate Tribunal, the above said direction stands vacated without any further reference to the Court.

41. Resultantly, the Writ Petition is allowed. There shall be no order as to costs.

As a sequel, miscellaneous petitions pending, if any, shall stand closed.

JUSTICE BATTU DEVANAND

JUSTICE TUHIN KUMAR GEDELA

Dated: 21.09.2026
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THE HON'BLE SRI JUSTICE BATTU DEVANAND

&

THE HONOURABLE SRI JUSTICE TUHIN KUMAR GEDELA

WRIT PETITION NO: 25720 of 2026

Date:21.09.2026

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